

The Case for a China-EU Joint Initiative on WTO Reform

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Abstract

The writers—one Chinese, one European—propose that China and the European Union (EU) work together to restore the credibility of the World Trade Organization (WTO) system—which has been a building block of the world economy for the last sixty years. Building on their joint commitment to multilateralism, as confirmed at the 2025 China-EU Summit, it is proposed that China and the EU coordinate their efforts to restore the negotiating function of the WTO, including by restarting market access and industrial and agricultural subsidy negotiations, and integrating pressing sustainability challenges into its rule book, work to restore the WTO's judicial function in the medium term, and strengthen the monitoring and transparency work of the organisation.

Introduction

This article¹ set out a series of recommendations on how China and the EU could and should cooperate—bilaterally but also with other like minded countries—to

* The authors write in their personal capacities. They have submitted the recommendations in this article to both governments as a blueprint for their bilateral cooperation on WTO matters pursuant to the agreement reached at the EU-China Summit in Beijing 24–25 July 2025, to work to support the WTO rules based system. The authors encourage both governments to make a joint statement based on the contents of this article.

¹ This article draws upon a number of documents submitted to the WTO by both China and the EU, or initiatives launched by either party, in particular the following: *Reforming the WTO: Towards a Sustainable and Effective Multilateral Trading System* (European Commission, 2021, on which the framework of this article is based); *WTO—EU's proposals on WTO modernization* (European Commission, 2018); *China's Proposal on WTO Reform* (WT/GC/W/773, 2019). Developments since the EU document of 2021 were taken into account during the drafting, especially (1) the (lack of) progress of WTO reform under the Biden Administration; (2) the current Trump Administration disregard for WTO rules notably GATT provisions on tariffs and non-discrimination; (3) the conclusion in 2019 of the EU-China investment negotiations as reflected in the text of a Comprehensive Agreement on Investment; (4) EU-China cooperation in the framework of the Multi-Party Interim Appeal Arbitration Arrangement (MPIA); (5) China's application for the membership of the Digital Economy Partnership Agreement (DEPA, 2021) and the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP, 2021); (6) China's current policies on systemic trade reform; and (7) China's recently announced position on Special and Differential Treatment as set

reform the WTO, in the sense of restoring support for multilateralism in a political climate currently characterised by disregard for international law and the pursuit of unilateral trade measures.

In this the 50th anniversary of EU-China diplomatic relations, the EU and China, at their 25th Summit in Beijing on 24–25 July 2025, reiterated their commitment to work together to restore the multilateral system embodied in the WTO.² What was less clear is whether there was agreement to a precise agenda on how to accomplish this together in the months ahead. This article and the proposals it makes is designed to provide the EU and China with that agenda.

It is recognised that some of the proposals below may have to await a more WTO—committed administration in the United States of America (USA). Recent bilateral tariff agreements between the USA and other parties, in disregard of the Most Favoured Nation (MFN) principle, constitute a major challenge to the multilateral system. It is recommended that all WTO members in any bilateral arrangements concluded with the US, eschew discriminatory non-MFN outcomes, for the long term good of the system³.

1. Why does the WTO matter and why is it in crisis?

1.1 *Why the WTO matters*

Since the foundation of the multilateral trading system in 1947, world trade has expanded 300—fold, and today makes up more than 60% of global GDP, supporting jobs, growth and investment around the world. This is partly thanks to successive reductions in tariffs negotiated through the multilateral system: in 1947, applied tariffs ranged between 20% and 30%, today, the world's applied tariffs stand at an average of around 9%. But it is also thanks to the stability the system provides. The WTO's MFN principle limits discrimination between goods and services from different trading partners. It provides a stable floor of economic openness that promotes competition on global markets based on efficiency, innovation and predictability.

The rules of the WTO protect the interests of all trading nations, large and small, against discriminatory, behind-the-border action and ensure that trade protection measures are based on transparent multilaterally agreed disciplines. Furthermore, the binding of tariffs under General Agreement on Tariffs and Trade (GATT) art.II—now being upturned by the Trump administration—decreases the likelihood that countries increase tariffs as a response to shocks, whilst the WTO's dispute settlement system is a guarantor of compliance with the rules and avoids the escalation of trade conflicts.

Though more needs to be achieved, the WTO has also contributed to global sustainable development. The economic openness it has guaranteed has helped

out in its Communication to the WTO of 24 September 2025 (doc WT/GC/274 of 24 September 2025) and reflected in the relevant sections of this article.

² European Council, "25th EU-China summit—EU press release", Press release (24 July 2025), <https://www.consilium.europa.eu/en/press/press-releases/2025/07/24/25th-eu-china-summit-eu-press-release/>.

³ See for example John Clarke, Tim Groser and Steve Verheul, "Operationalising Ursula Von Der Leyen's CPTPP ambitions. A proposal for EU-CPTPP cooperation" (1 July 2025), <https://borderlex.net/2025/07/01/comment-operationalising-ursula-von-der-leyen-cptpp-ambitions/>.

integrate many developing countries into the world economy, lifting hundreds of millions of people out of poverty and decreasing inequalities between countries.⁴

1.2 The reasons for the present crisis in the WTO

Today's crisis affects all three functions of the WTO: negotiations have failed to modernise the rules, and in most cases have not even started; the dispute settlement system has de facto reverted to the days of the GATT where panel reports could be blocked; and the monitoring of trade policies is also arguably ineffective.

In respect of its negotiating function, the WTO has not been able in the course of the last twenty five years to negotiate and agree new rules to tackle market access, industrial subsidies and other pressing issues (e.g. digital trade or sustainability). Reaching consensus among 166 members against the backdrop of today's diffuse global balance of power is a huge challenge. Negotiations are also held back by disagreements about the level of flexibilities for developing countries. However, proposals to do away with the consensus principle in WTO—the true jewel in the crown of the organisation—should be resisted.

The WTO's monitoring and deliberative function is seriously challenged by insufficient transparency about members' trade legislation and practice, and the fact that topics such as environmental degradation, climate change or decent work are considered taboo.

Last but certainly not least, the dispute settlement system was effectively paralysed at the end of 2019, due to the blockage of appointments of Appellate Body members by the United States, a state of affairs that continues to this day.

1.3 The urgent need for reform

A stable trading environment with the WTO at its centre is more essential than ever to address the challenges before us, be it climate change, inequality, wars on several continents, or an increasingly rogue United States. The context is challenging for an organisation that seems to have lost its sense of common purpose. But the EU and China have a fundamental strategic interest in ensuring the effectiveness of the WTO. Not only is trade vital for our economy; promoting rules-based international cooperation can be the very essence of a new and joint European and Chinese project in this the fiftieth anniversary of EU-China diplomatic relations. The EU and China, together with other countries committed to multilateral governance—the Ottawa Group,⁵ the countries that form the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) free trade agreement (FTA) and others—must therefore play a leading role in creating momentum for meaningful WTO reform.

⁴ Amongst dozens of books and articles spelling out these incontrovertible facts, Alan Woolf's recent book, *Revitalising The World Trading System* (Cambridge University Press, 2025) stands out, <https://www.ft.com/content/31ced0bb-cdb7-43ae-aeaa-fbcac8d1b9cd>.

⁵ An informal grouping of middle-sized and emerging economies, convened by Canada, and which meets periodically at the level of senior trade officials or trade ministers.

2. Restoring trust and a sense of common purpose: The WTO's contribution to sustainable development

The collapse of the Doha Development Agenda in 2008 exemplified the lack of common purpose of the WTO membership. Despite the success in concluding the Trade Facilitation Agreement at the 9th WTO Ministerial Conference in Bali and the long delayed Decision on agricultural export competition at the 10th WTO Ministerial Conference in Nairobi, the WTO membership has become increasingly divided as to what it expects from the WTO.

While part of the membership has argued that the “centrality of development” in the WTO means that there should be a focus on exceptions and flexibilities from agreed and future commitments for developing members, another part has grown increasingly frustrated at the failure of progress in WTO negotiations and shifted its attention to bilateral trade agreements. The EU is not beyond reproach in this regard, reserving for example market access improvements to bilateral trading partners,⁶ and thus dissipating support for multilateral negotiations.

Without a sense of common purpose, it has been extremely difficult to find a way forward for any initiative and to ensure that the WTO evolves in line with the changes in global trade.

However, the vast majority of the membership remains committed to the idea of multilateralism, fully cognizant of the benefits of a rules-based system for global trade and development. The instability of the last few years, the climate and environmental crisis, and the increased use of unilateral measures have led to a clear realisation that the WTO is a vital component of healthy global economic governance—but that reform is necessary. The G20 Leaders’ statement in Riyadh last year⁷ contains the strongest commitment to reform yet, at the highest political level.

As global challenges proliferate, WTO members must, and surely should be able to coalesce around the objective of addressing the most pressing problems they face: economic recovery and development, one free from competitive distortions, as well as the contribution of trade to environmental and social sustainability as part of the green transition of economies. Addressing these problems would be in line with the objectives of the United Nations (UN) Sustainable Development Goals (the “SDGs”), to which all WTO members have committed.

Such a focus could offer the sense of common purpose that the WTO has lacked in recent decades and rebuild trust among the membership. It could generate the confidence needed to modernise the WTO rulebook in a manner that is responsive to the challenges of digitalisation and greening, as well as preventing and defusing conflicts caused by trade-distorting state intervention in the economy.

⁶ At the time of writing the EU has 39 Free Trade or Cooperation Agreements with 79 partners.

⁷ “G20 Rio de Janeiro Leaders’ Declaration”, *Full-text-of-the-G20-leaders-final-communique-at-the-end-of-the-G20-Riyadh-Summit/RK=2/RS=_nrOMEI2ha2huuJA38lj0g2yjaw-*.

2.1 Restoring a sense of common purpose to the WTO: focus on sustainable development

This effort to restore a sense of common purpose must proceed incrementally, starting with short-term confidence-building measures. Conclusion of the second phase of the fisheries subsidies negotiations constitutes an important step, indeed a gateway issue, towards solidifying the WTO's contribution to sustainability. This agreement is of importance not only as the first multilateral agreement in years, but also as the first agreement with implementation of an SDG as its core (SDG 14.6). This was not a straightforward task given the gaps between WTO members' positions and the challenges of finding consensus in multilateral negotiations (in good part because of the issue of special and differential treatment mentioned above), but the conclusion of negotiations has been taken as demonstration that the WTO's negotiating function is not wholly moribund. Entry into force of the Agreement (it requires two thirds of WTO members to ratify it domestically for it to enter into force) is imminent.

Many SDGs relate to protection of the environment. The paramount importance of protecting the environment was already recognised at the time of the WTO's creation, by the establishment of a Committee on Trade and Environment to foster deliberation and common action. Indeed the Marrakesh Declaration itself for the first time recognizes the sustainability mandate of the WTO.⁸ The current need for trade policy to be responsive to climate and environmental challenges is if anything more critical today, a situation recognised by the vast majority of WTO members. Contrary to fears expressed when the WTO was created, no country has been forced to lower its desired level of health or environmental protection because of a ruling of the WTO dispute settlement system; and fears of green protectionism, while essential to monitor closely, have rarely materialised.

Going forward, the EU and China are well placed jointly to support international discussions on trade and environment issues, and the interpretation of relevant WTO provisions that recognise the right of Members to provide effective responses to global environmental challenges, notably climate change and the protection of biodiversity, provided this is done in a transparent and non discriminatory manner and does not constitute a disguised barrier to trade.

The recent China-EU Summit saw a strong meeting of minds on this common agenda.⁹ Each sees sustainability as part of the necessary green transition of economies, which will need to be reflected in the WTO's work across the board. The two economies are well positioned to present a joint initiative on trade and climate in the WTO, focusing on a range of building blocks, including the liberalisation of selected goods and services; transparency (including on carbon border adjustment measures), information exchange and analysis as a first step to develop disciplines on fossil fuel subsidies; greening aid for trade; and strengthening the WTO's institutional framework dealing with trade and environment issues. The EU and China are also working with other WTO members in pursuing parallel environmental initiatives relating to the circular economy (including plastics).

⁸ Preamble, para.1 of the Marrakesh Declaration (WTO, 1995).

⁹ European Council, "25th EU-China summit—EU press release", Press release (24 July 2025), <https://www.consilium.europa.eu/en/press/press-releases/2025/07/24/25th-eu-china-summit-eu-press-release/>.

The WTO also has a role to play in helping to implement the SDGs on decent work and gender equality. As regards decent work, the WTO should foster analysis and exchange of experiences as to how trade policies can contribute to social development, how stronger protection of workers' rights benefits growth and development, how best to integrate International Labour Organization (ILO) standards into national trade and economic policies; and how to ensure that the benefits of trade liberalisation reach all workers and vulnerable communities. This action could be supported through further and more active cooperation between the WTO and the ILO. Labour rights and labour standards should no longer be a taboo subject for the WTO.

The EU and China should work with partners to further integrate this social dimension of globalisation into the work of the WTO. As regards gender equality, the EU and China should pursue a leading role in raising awareness of the importance of ensuring that a gender perspective is a mainstream part of trade policy, through initiatives such as the Buenos Aires Declaration on Trade and Women's Economic Empowerment.

2.2 How trade can contribute to development: the need for a forward-looking approach to special and differential treatment

One of the founding objectives of the WTO is to ensure that developing countries, and especially the least developed among them, secure a share of the benefits of international trade commensurate with the needs of their economic development. "Special and differential treatment" (SDT) is meant to enable developing countries to make the best use of the opportunities for development that WTO membership offers.

The EU and China are strong supporters of SDT and believe its use must be guided by the underlying economic reality that trade is a driver of development, rather than a threat. Those developing economies that have seen the most consistent growth are those that have focused their efforts on integrating into the global economy and progressively opening their markets to greater competition, and not those which have pursued autarky. The great development challenge for the WTO is how the Organisation can effectively assist the efforts of those developing countries that are not yet sufficiently integrated into the global economy.

Restoring the credibility of the WTO as a negotiating forum also requires a new approach to SDT. Such an approach should combine a more targeted focus on how to support integration into the trading system, along with greater differentiation between developing countries, based on identified needs. These needs include the capacity constraints of small public administrations. It is only by focusing on how to facilitate the capacity of countries to assume commitments that foster integration in the global economy that the WTO can effectively contribute to development.

The approach taken in the WTO Agreement on Trade Facilitation—in which developing countries' progressive assumption of commitments is tied inter alia to their development funding and support—can be replicated in other areas of the WTO's agenda such as the Fisheries Subsidies Agreement, agricultural subsidy reform, and e-commerce.

In terms of process, an “agreement-by-agreement” approach appears to be the most likely to deliver real progress on SDT. While it would be desirable that all WTO members agreed on crosscutting criteria for SDT, it is more realistic to try to find convergence in specific negotiations. Still, the approach will be guided by some overall considerations. For example, full commitments in ongoing negotiations and future agreements are expected from a) Organisation for Economic Co-operation and Development (OECD) members (including OECD accession candidates); b) countries classified as “high income” by the World Bank; and c) countries that represent a sufficiently high share of global exports in general or in the sectors concerned by a particular negotiation. China has started to recognize and implement this last principle in recent years. India has not, and it is suggested that India reflect seriously on how as a major economy and trader, posting 6–8% growth annually, it can take a more forward leaning approach on SDT, rather than reserve for itself exceptions and exemptions designed to help the poorest countries in the world.

3. Restoring a fully functioning WTO dispute settlement system with a reformed appellate body

Binding dispute settlement is not only critical to protect the interests of WTO members against measures that limit market access rights. It also provides the stability for companies to be able to invest and export in the knowledge that rules will be respected and that there are remedies in case of breach. It protects big and small WTO members alike against unilateral actions and prevents trade disputes escalating into political conflicts. While certain aspects of the Appellate Body’s operation and jurisprudence have been criticised, it is also important to recognise that the Appellate Body has greatly enhanced the legitimacy and predictability of the dispute settlement system, including through its careful attention to the protection of the right of WTO members to regulate for health, environmental or other legitimate policy objectives.

The most urgent of WTO reforms is finding an agreed basis to restore a functioning dispute settlement system notably through the appointment of the members of the Appellate Body. This task should be addressed as a priority and not be linked to the other aspects of WTO reform. In the absence of a functioning dispute settlement system, it is difficult to see what could be the motivation for countries to modernise and fill gaps in the rules, if those rules are ultimately unenforceable.

The United States (US) has raised a number of valid concerns about certain adjudicative approaches of the Appellate Body as well as about specific rulings in certain cases. The EU and China have concurred that adjudicators should exercise judicial economy, are not bound by “precedent”, but have the discretion to take into account previous rulings to the extent they find them relevant in the dispute before them. In the WTO dispute settlement system, the panels are the triers of fact, and the role of the Appellate Body is intended to be limited to addressing legal issues raised on appeal to the extent this is necessary to resolve a dispute. The independence of panels and of the Appellate Body is essential so that cases are decided exclusively on their merits. This is compatible with a strengthening of accountability to Members as regards the fulfilment of its duties. Mandatory

timelines should be strictly respected both at the Panel and Appellate Body stage of disputes—justice delayed is justice denied—and appropriate measures adopted in order to make this possible.

The EU and China have therefore agreed that a meaningful reform is warranted. Such reform should maintain the negative consensus rule, the independence of the Appellate Body and the central role of dispute settlement in providing security and predictability to the multilateral trading system. In the meantime, the EU and China could encourage other WTO members such as India to join the Multi Party Interim Appeal mechanism which provides an—albeit temporary—means to resolve trade disputes in a civilised manner. The United Kingdom (UK) took that welcome step in May this year.

4. Towards a more effective negotiating function

At the heart of the crisis in the WTO lies the failure of its negotiating function. WTO reform should aim at restoring the effectiveness and credibility of the WTO as a forum for the negotiation of trade rules and further liberalisation. WTO rules need to be brought into line with the economic and trade realities of the 21st century. On substance, the priority should be to modernise the rules of the WTO on e-commerce, investment facilitation, services domestic regulation and on the role of the state in the economy, including on subsidies. Consideration could also be given to advancing liberalisation on goods and services in a manner that ensures a better balance of commitments. Whether one should precede the other remains a matter for further reflection.

As regards the method for negotiations, the conventional wisdom is that a single undertaking approach has failed to deliver. That has led to a view that progress can probably be best achieved through different processes, including open, plurilateral agreements. However, given the size of the membership of WTO, and the very different offensive and defensive interests of its members, it may still be the case that ultimately only a single undertaking will be able to ensure the trade offs necessary to arrive at satisfactory negotiating outcomes.

The real question is about timing and sequencing—how to move negotiations ahead at probably different speeds while giving members assurances that their priorities are not going to lag behind or be ignored in any final global settlement.

In parallel to substantive negotiations, WTO members should reflect on ways of integrating plurilateral agreements into the WTO framework: the Hinrich Foundation in Singapore in recent commentaries has pointed to the non-application clause of the E-Commerce Agreement as a way forward in this respect¹⁰, but that does not address the still intractable issue of a Member being able under the consensus principle of WTO to block the adoption of a plurilateral agreement. For now the only solution is for members of plurilateral agreements to implement those Agreements outside of the WTO.

¹⁰ WTO, Chuin Wei Yap, “Defending the multilateral trading system: Survey findings on WTO reform”, Hinrich foundation, <https://www.hinrichfoundation.com/research/article/wto/defending-the-multilateral-trading-system/>.

4.1 *Modernising WTO rules*

A. Establishing new rules on digital trade, services and investment

Negotiations with broad participation are ongoing or have concluded on services domestic regulation, e-commerce and investment facilitation. All three negotiations are essential to make the rules of international trade responsive to the digital transformation of the economy, the growing importance of services and the need to facilitate investment as a key for development.

The EU and China have shown full commitment to these negotiations. Adoption and implementation of these ambitious and inclusive agreements is critical to demonstrate the relevance of the WTO to the main drivers for the expansion of trade and investment in the 21st century and to facilitate the integration of developing countries in global value chains. Progress inside the WTO would also avoid fragmentation of the global trading system—given the extent to which these issues are being tackled primarily in bilateral agreements or in plurilateral agreements outside the WTO framework, with all the risks of incompatibility that this entails.

B. Establishing new rules to avoid competitive distortions due to state intervention in the economy—competitive neutrality

The rules of the WTO are not sufficiently effective in tackling the negative spillovers of state intervention in the economy. This is particularly true when state intervention distorts competition in the home market or even in global markets. The frequent lack of transparency in such interventions further aggravates the problem. The issue is not solely the role of the state as such. Public intervention may be needed to achieve legitimate goals, and the WTO should accommodate different degrees of public ownership in the economy. Rather, the issue is to effectively counter those interventions that have negative spillover effects, distorting competition by favouring domestic firms, goods or services vis-à-vis foreign ones, limiting access to markets or having an impact eg a displacement effect in global markets.

New rules on industrial subsidies are essential to counter the negative effects of heavy subsidisation on international trade, which can generate distortions of competition in both traditional sectors and new technologies. Subsidies may also encourage excess capacities. An important objective of stricter rules would be to arrive at significantly greater transparency and identify additional categories of prohibited subsidies, as well as categories of subsidies presumed to be injurious. Together with discussions on such “red” and “amber” boxes, there could also be consideration of a “green box” that includes those subsidies that support legitimate public goals while having minimal distortive impact on trade. This would particularly be the case of certain types of environmental and R&D subsidies, provided they are subject to full transparency and agreed disciplines. In this context, the Agreement on Agriculture contains approaches that could be usefully adapted to industrial subsidisation.

State-owned enterprises (SOEs) are, in a number of countries, an instrument through which the state decisively influences the economy, sometimes with market-distortive effects. However, the importance of SOEs is not yet matched with sufficient disciplines to capture any market—distorting behaviour. New international SOE rules should focus on the behaviour of SOEs in their commercial activities, in line with the disciplines already agreed in several free trade and investment agreements.

Apart from industrial subsidies and SOE disciplines, there is a need to reflect on what other elements could be part of new WTO rules aiming at ensuring the principle of “competitive neutrality” and promoting a level playing field. This should include, for instance, strong rules against practices forcing companies to transfer innovation and technology to the state or to their competitors (forced technology transfers) and rules to ensure that domestic regulation is transparent and pro-competition. The overall aim should be that any state intervention in the economy is done in full transparency and does not distort competition to favour certain firms.

C. Addressing imbalances between members’ market access commitments

Market access commitments have not been updated since the conclusion of the Uruguay Round and are increasingly disconnected from the economic realities of the 21st century. The current structure of WTO market access commitments in goods and services does not correspond to the actual level of openness of many countries and fails to reflect the significant changes in weight of certain major trading nations in the world economy.

While ensuring a better structure of overall tariff commitments is important, the primary focus of any WTO reform effort should be to modernise rules on competitive neutrality: subsidies, SOEs, forced technology transfers and domestic regulation. When subsidies are artificially lowering the prices of goods, SOEs are abusing their dominant position in a market or firms are being forced to share their technology with their competitors, lowering tariffs will not correct the imbalances among members.

Nevertheless, in the short to medium term, and in order to further build confidence within the system, the EU and China need to support sectoral initiatives where liberalisation has broader benefits, as is the case for the liberalisation of tariffs on health and selected climate-mitigation goods or the liberalisation of environmental services. Any negotiation on market access must inevitably include the legacy issue of agricultural tariffs—unreformed since the Uruguay Round—which remain high in many developed and developing countries, and whose reduction would aid global food security.

As for trade in services, the priority should be to conclude negotiations on rules for the digital economy. Once those negotiations are concluded, consideration could be given to launching further negotiations on services. Such negotiations should be open to the participation of interested WTO members and be anchored in the WTO, while building upon the progress made in the Trade in Services Agreement negotiations.

D. The contribution of agriculture

Restoring the credibility of the WTO as a negotiating forum would also require the membership to tackle agricultural negotiations, referred to already above. Those negotiations remain largely blocked despite the positive outcome on eliminating export subsidies at the Ministerial Conference in Nairobi. Agriculture remains an important—even core—interest for much of the WTO membership and the lack of progress will continue to negatively affect the wider WTO reform agenda.

Commitments on domestic support in the agriculture sector should be the priority of negotiations, considering the proliferation of trade distorting policies and measures. In order to be successful, however, such negotiations would require contributions from all, or at least all major, members. Looking forward, the EU and China have expressed themselves in favour of a substantial reduction in trade-distorting domestic support, and have called upon US and India and others to commit to the same.

Reviving negotiations on agricultural market access, whether in relation to tariff reductions or other elements, while difficult, is unavoidable. Several WTO members have made clear in recent years that absent a meaningful reduction in agricultural tariffs—as foreseen in the Agreement on Agriculture—they will be unable to defend a focus solely on agricultural subsidy disciplines or rule making in newer areas. It remains an open question however as to whether agricultural market access negotiations would need to form part of a wider set of market access negotiations including industrial goods: whether the conditions for balance are present needs serious reflection. If this proves not to be the case, it may at least be possible to consider stronger disciplines on export restrictions, which proliferated during the period of the Covid pandemic and which had a detrimental effect on food security. The authors believe however that it will ultimately only be possible to make meaningful progress in agricultural reform if market access is part of that process. This will require the EU, Japan and others to take some hard decisions and to accept tariff reform as part of a wider settlement on agriculture and indeed industrial goods.

Finally, there is a need to mainstream environmental sustainability aspects in the agricultural negotiations in line with the necessity of the green transition of economies, through a review or interpretation—if not renegotiation—of the Green Box provisions ensuring a safe harbour for environmental subsidies.

4.2 Integrating open plurilateral agreements in the WTO

Although the WTO cannot regain its credibility and effectiveness without modernising its rules, it has proven difficult to ensure such modernisation through multilateral agreements and a single undertaking, even though there is arguably no alternative in the longer run.

In the absence of WTO progress, a great number of bilateral or regional trade agreements are being negotiated, including on issues for which the WTO has so far failed to produce multilateral outcomes, for example on digital trade or on state-owned enterprises. The most positive development in recent years has been the interest of a growing number of countries to develop such rules in the WTO framework through open, plurilateral negotiations. If no effective formula is found

to integrate plurilateral agreements in the WTO, there would be no other option than developing such rules outside the WTO framework. This is already happening.

The WTO Agreement provides for plurilateral agreements to be incorporated into the legal architecture of the WTO in art.X:9, whereby the Ministerial Conference may decide by consensus to add trade agreements concluded by a group of WTO members to the list of WTO plurilateral agreements in Annex 4. However, art.X:9 has not been used since the WTO's establishment. Reaching consensus on adding a plurilateral initiative to Annex 4 has been perceived to be an insurmountable difficulty, even if the MFN rights of non-participants were not diminished by the plurilateral commitments taken by a group of WTO members. The methodology used to integrate plurilateral agreements in the WTO architecture so far has been for every participant to incorporate the additional commitments unilaterally into their schedule of commitments, as was done for the Understanding in Financial Services Commitments and the Reference Paper on Telecommunications. However, this has its drawbacks. Not every additional commitment fits neatly into a schedule of commitments. Secondly such commitments are extended to non-participants on an MFN basis thus creating a free-rider problem that some members find unacceptable. And in addition, non-participants could bring dispute settlement proceedings against a participant for breach of these additional commitments, even if they, as non-participants, are not bound by such commitments.

Meaningful WTO reform will have to recognise these realities. The EU and China should lead the call for a reflection on how to create an easier path for plurilateral agreements to be integrated in the multilateral architecture. The EU and China have expressed themselves in favour of an inclusive approach to open, plurilateral agreements—one that facilitates participation by developing countries and allows them to decide whether they wish to join the agreement, and leaving the door open for them to join in the future.

That is not to say that the WTO should accommodate all plurilaterals. Discussions could identify certain principles that plurilaterals should comply with in order to be incorporated into the WTO framework. These principles could relate to openness to participation and future accession by any WTO member, facilitation of the participation of developing countries, transparency of the negotiating process, as well as means of protecting the existing rights of non-participants while avoiding undue free-riding.

5. Improving the functioning of the WTO system

5.1 Reinforcing the monitoring and deliberative functions of the WTO

Work in the regular WTO councils and committees plays an essential role in safeguarding the rules-based multilateral trading system by, inter alia, conducting day-to-day technical business, monitoring members' trade policies, and giving members a place to raise trade concerns and deliberate on trade developments. With virtually no outcomes in rule-making in recent years and a paralysed dispute settlement system, effective monitoring and policy deliberations are ever more

important to maintain the WTO as a credible basis for trade relationships. Unfortunately, a number of ineffective procedures, gaps in compliance with transparency obligations and widespread lack of trust often make effective engagement difficult.

Over the past years, the EU and China and numerous others have been working towards improvements, in particular in the areas of transparency and trade concerns, such as the proposal on improving transparency and compliance with notification obligations in the area of trade in goods. Proposals that have been made suggests incentives as well as administrative measures as a response to significant delays in submitting notifications, a long-standing problem affecting transparency, not least in the agriculture sector.

With a group of members, the EU and China have in recent years presented suggestions to improve work in regular WTO bodies in a proposal on guidelines for WTO bodies addressing trade concerns. These ideas aim to facilitate the resolution of trade concerns among members before they escalate to dispute settlement stage or clog up agendas for years.

Beyond these proposals, further work is needed to improve the WTO monitoring and deliberation functions. While timely compliance with notification obligations is one aspect of transparency, so is the quality of the information provided. Overall, there is a case for more effective monitoring of members' trade policies at the committee-level. This includes having WTO committees explore how to make notification reviews more effective, some work on which has begun in a piecemeal fashion. There could also be scope for considering issues on which the Secretariat should be able to produce monitoring reports that rely on different publicly available sources of information.

It would also be useful to take stock of activities in WTO bodies with a view to identifying which ones need more resources/attention and which ones should be downsized or deactivated. This would allow the WTO to focus resources on those committees that are more actively and efficiently used by members, while other committees could be suspended unless convened upon explicit request by a member (this is already the case for most subsidiary bodies of the Council for Trade in Services). Certain committees could be revitalised by enhancing their contribution to policy deliberations, such as the Committee on Trade and the Environment, for example. Moreover, the role of the General Council to review developments affecting the trading system or to debate studies prepared by the Director-General in cooperation with other international organisations could be enhanced.

Last but not least, a reflection is overdue on the management of WTO meetings, which are increasingly adopting UN methods. Interventions by regional groups are given priority, irrespective of the subject matter or the importance of that issue to the regional group in question. There is no discipline on the length of Members' interventions. Members who belong to a regional group or in some cases several groups continue to make individual interventions with the result that their views are amplified to an illogical extent.

5.2 The role of the director-general and the WTO secretariat

For WTO reform to work, the Director-General needs to be involved proactively and visibly. Members can trust and should encourage the Director-General to support them in addressing the key challenges of the WTO. They should actively support her in taking initiatives in the interest of advancing the objectives of the WTO and proposing solutions for deliberation by members. While it is often stressed that members are responsible for setting the agenda of WTO work, such a facilitating role of the Director-General IS compatible with the member-driven nature of the organisation.

The Director-General and the Secretariat in particular can reinforce the monitoring and deliberation functions of the WTO. First, in order to contribute to members' deliberations effectively, the Secretariat should be able to rely on the trust of members for preparing analytical reports on relevant topics and deepening cooperation with other International Organisations, without the need for advance clearing with the membership. This is surely basic.

Second, transparency on Members' trade policies would benefit from a reinforcement of the monitoring activities of the Secretariat. While cooperation between the WTO and International Organisations, including UN bodies, works generally well, the Director-General should pursue more targeted cooperation with the objective of jointly contributing towards fulfilling the objectives of the SDGs.

5.3 More effective stakeholder engagement: business and civil society

Back in 1996, WTO members already recognised “the role NGOs can play to increase the awareness of the public in respect of WTO activities” and agreed “to improve transparency and develop communication with NGOs” by tasking the WTO Secretariat to manage direct contacts with civil society. The main channels of engagements are the annual Public Forum, attendance of selected civil society at Ministerial Conferences, briefings by the Secretariat, as well as the possibility to submit position papers and topical discussions. Business representatives are also involved in topical discussions, as well as the Trade Dialogues series since 2016; a dedicated page within the WTO website gathers information tailored to businesses' interests.

There may be scope to modernise and further develop the modalities for consulting business and civil society with a view to revitalising the involvement of these stakeholders in the trade debate. First, while NGO briefings by the Secretariat are currently reserved for registered NGOs based in and around Geneva, electronic means and virtual platforms would make it possible to broaden attendance to accredited NGOs around the globe, enabling NGOs from developing countries with limited means, in particular, to get involved. Second, a consultative or advisory committee with a balanced selection of business and civil society representatives could be created to gather input from stakeholders on important developments affecting the multilateral trading system and relay them into ongoing negotiations and deliberations. Third, engagement around concrete topics could be reinforced by organising discussions around crosscutting issues related to aspects of sustainable development or regional trade agreements, for example. The WTOs Agriculture

Directorate has over the last eighteen months for example convened a series of useful open seminars involving governments, business, farm groups, NGOs etc to debate key agricultural topics—this could be replicated across the organisation.

Fourth, members should examine how to increase transparency by opening meetings or parts thereof to the public, by virtual means. Many members operate such consultative mechanisms at the national level and there is no obvious reason why this should not be done at the multilateral level too.

6. Achieving WTO reform

6.1 *Building alliances to deliver WTO reform*

Delivering on the elements of WTO reform outlined above will require engagement and buy-in by a significant number of members. Achieving reform necessitates alliance-building, avoiding polarisation, and the willingness of members to engage in an incremental process that will eventually lead to compromise. As major economic powers that believe firmly in multilateral rules-based trade, the EU and China need to show leadership. That leadership is certainly not going to come in the foreseeable future from the USA nor India. They would be advised to engage in the first instance with the so-called Ottawa Group of countries and the members of CPTPP as well as European Free Trade Association (EFTA) countries, all of whom are fully committed to multilateralism and who largely share the EU's and China's diagnosis.

The EU and China also must give a particular priority to engage in a dialogue with African countries on the WTO reform agenda. The EU and China have wide ranging ties with much of Africa which constitutes a good basis for this work. This could include consideration of how to better integrate the SDGs into the work of the WTO, as well as how to ensure that any open, plurilateral initiatives are inclusive and take into account the capacity constraints of developing countries with small administrations. Discussions could also cover the issue of special and differential treatment and how the WTO can support integration through the implementation of the African Continental Free Trade Area. In this context, the EU and China remain supportive of the African Union obtaining observer status in the relevant WTO bodies.

The EU and China must also as a priority continue to engage in discussions with India whose role in the WTO is pivotal. India's current levels of market access and other commitments do not sufficiently reflect India's impressive development and economic growth. India has a highly dynamic economy, is a leading player in the G20—its commitment to the WTO during its chairmanship of the G20 process was impressive—and can and should exercise leadership in the WTO, making commitments commensurate with its economic strength and its declared desire to support the Global South. It is in short an indispensable partner for WTO reform discussions.

6.2 *Short-term priorities*

The agenda for WTO reform must be ambitious, but it must also be realistic. The different work strands of WTO reform need to be properly sequenced. Not all

elements can or should be deployed simultaneously, but rather different components will follow different processes and be brought forward in different configurations—be it multilateral or plurilateral—and with different groups of members, within the overall long term logic of—a currently unfashionable concept—a Single Undertaking in terms of globally balanced outcomes.

Four areas where work should immediately intensify are trade and development/SDT, fisheries subsidies, agricultural reform (both subsidies and market access), and the reform of the dispute settlement system.

In addition, the following outcomes could be achieved in the near future:

1. An agreement should be reached to reinvigorate WTO work on trade and environment in view of mainstreaming sustainability issues in the WTO's work. Ideally, this should be done multilaterally, although certain elements may only be pursued by subgroups of interested WTO members, such as the liberalisation of selected climate-mitigating goods and environmental services.
2. Work should be launched amongst interested countries on the development of rules on competitive neutrality, including modernised rules on industrial subsidies.
3. Substantial progress should be recorded on embedding inside the WTO framework the plurilateral initiatives on e-commerce and investment facilitation.
4. Improvements to the WTO's regular work function, through agreements on the horizontal transparency in notifications and trade concerns proposals.

Beyond these outcomes, a Declaration at the next Ministerial in Cameroon in 2026 articulating a political commitment to reform would be a significant additional element to support future work. This Declaration could focus on issues such as improvements of the negotiating, monitoring and deliberating functions of the WTO; and look into institutional improvements in the functioning of the Organisation. The Ministerial Declaration could draw conclusions on WTO Reform to guide the membership towards concrete outcomes. The agenda for further work on the medium to long-term areas of reform should be set prior to or at the latest at the next Ministerial Conference. The EU and China would be well advised to spearhead this initiative and propose a work programme to secure, in cooperation with many like minded partners—the long term reforms of the WTO system described above, and that are needed more than ever before in today's climate of economic and geopolitical tensions.